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China Tourism Group Duty Free | Asia Pacific

2Q26 preliminary results:
sequentially weaker as expected

Reaction to earnings

Unchanged	In-line	Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- The 2% revenue decline and 20% operating profit decline in 2Q26 should not be a surprise as Hainan duty-free sales growth has decelerated visibly since April
- Still, the 8.5% reported OPM in 2Q26, -1.9ppt yoy, is not impressive; especially as GPM for the main business actually expanded 1.44ppt yoy.
- We believe FX losses can explain part of the OPM compression, but we await interim results in late Aug for more detail on the operating deleverage.
- The YoY comp for the Hainan DF market is low for 3Q, yet recent trends from related travel industries (e.g. hotels and transportation) are mixed.

Exhibit 1: CTDG Duty Free: 2Q26 preliminary results

Preliminary results (Rmb mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue	16,746	11,405	11,711	13,831	16,906	11,177
Reported operating profit	2,519	1,189	777	819	2,793	949
Profit before tax	2,518	1,145	755	889	2,796	949
Net profit to shareholders	1,938	662	452	534	2,348	758
YOY						
Revenue	-11%	-8%	0%	3%	1%	-2%
Reported operating profit	-13%	-27%	-16%	14%	11%	-20%
Profit before tax	-13%	-30%	-17%	27%	11%	-17%
Net profit to shareholders	-16%	-32%	-29%	54%	21%	14%
Margins						
OPM	15.0%	10.4%	6.6%	5.9%	16.5%	8.5%
NPM	11.6%	5.8%	3.9%	3.9%	13.9%	6.8%
OPM yoy	15.0ppts	10.4ppts	6.6ppts	5.9ppts	1.5ppts	-1.9ppts
NPM yoy	11.6ppts	5.8ppts	3.9ppts	3.9ppts	2.3ppts	1.0ppts

Source: Company data, Morgan Stanley Research

See also:

Hong Kong/China Leisure & Lodging: A Very Challenging Summer Holiday (10 Jul 2026)

Chinese Airlines: Summer Peak: Early Signs of Recovery in Pax Demand Growth (12 Jul 2026)

China – Aviation: International Air Capacity: Week 27, 2026 (7 Jul 2026)

Chinese Airlines: Reduced Optimism amid a Soft Start to the Summer (6 Jul 2026)

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China Tourism Group Duty Free (1880.HK, 1880 HK)

China/Hong Kong Consumer China	
Stock Rating	Equal-weight
Industry View	In-Line
Price target	HK\$77.00
Shr price, close (Jul 14, 2026)	HK\$47.94
52-Week Range	HK\$107.00-46.00
Sh out, dil, curr (mn)	116
Mkt cap, curr (mn)	Rmb104,245.0
EV, curr (mn)	Rmb75,612.9
Avg daily trading value (mn)	HK\$219

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Valuation Methodology and Risks

China Tourism Group Duty Free (1880.HK)

We ascribe a 15% discount to our A-share valuation. This implies a 2026e P/E of 27x vs. 32x for the A-share (1SD above average since 2017). This H-share discount is similar to its average since the H-share listing in mid-2022.

Risks to Upside

- Favorable policy outcome for Hainan FTZ and downtown duty-free
- Improving consumer spending (especially in beauty products) and consumption upgrade (more non-beauty luxury products)

Risks to Downside

- Overall economic slowdown and pressure on disposable income
- Price competition among various retail sales channels
- Competitive intensify if the government further opens the duty-free market (both Hainan and mainland)

China Tourism Group Duty Free (601888.SS)

We apply a target 2026e P/E of 32x, 1SD above the average since 2017. Our target P/E implies 1x PEG, slightly lower than the China consumer discretionary average as CTG is asset heavy model with lower ROE. Growth driver is concentrated in Hainan business turnaround but less diversified. We expect Hainan travel retail market growth to remain healthy throughout 2026, driving both top line growth and margin expansion.

Risks to Upside

- Favorable policy outcome for Hainan FTZ and downtown duty-free
- Improving consumer spending (especially in beauty products) and consumption upgrade (more non-beauty luxury products)

Risks to Downside

- Overall economic slowdown and pressure on disposable income
- Price competition among various retail sales channels
- Competitive intensify if the government further opens the duty-free market (both Hainan and mainland)

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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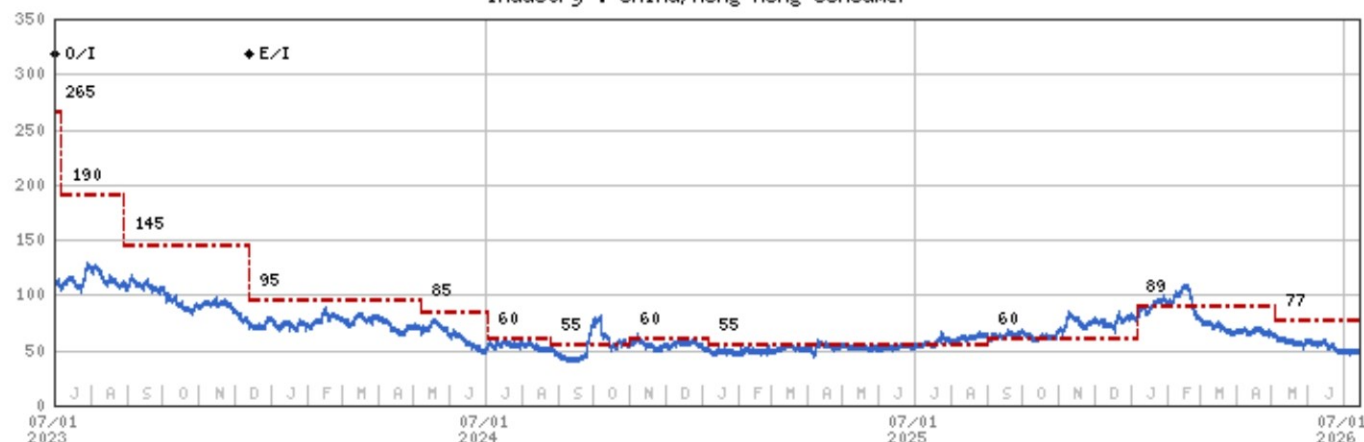
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Stock Price, Price Target and Rating History (See Rating Definitions)

China Tourism Group Duty Free (1880.HK) - As of 07/14/26 GMT in HKD
Industry : China/Hong Kong Consumer



Stock Rating History: 9/28/22 : O/I; 12/13/23 : E/I

Price Target History: 9/28/22 : 215; 10/13/22 : 200; 1/18/23 : 290; 4/11/23 : 300; 5/11/23 : 265; 7/7/23 : 190; 8/28/23 : 145; 12/13/23 : 95; 5/8/24 : 85; 7/4/24 : 60; 8/26/24 : 55; 11/1/24 : 60; 1/7/25 : 55; 9/2/25 : 60; 1/6/26 : 89; 5/4/26 : 77

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

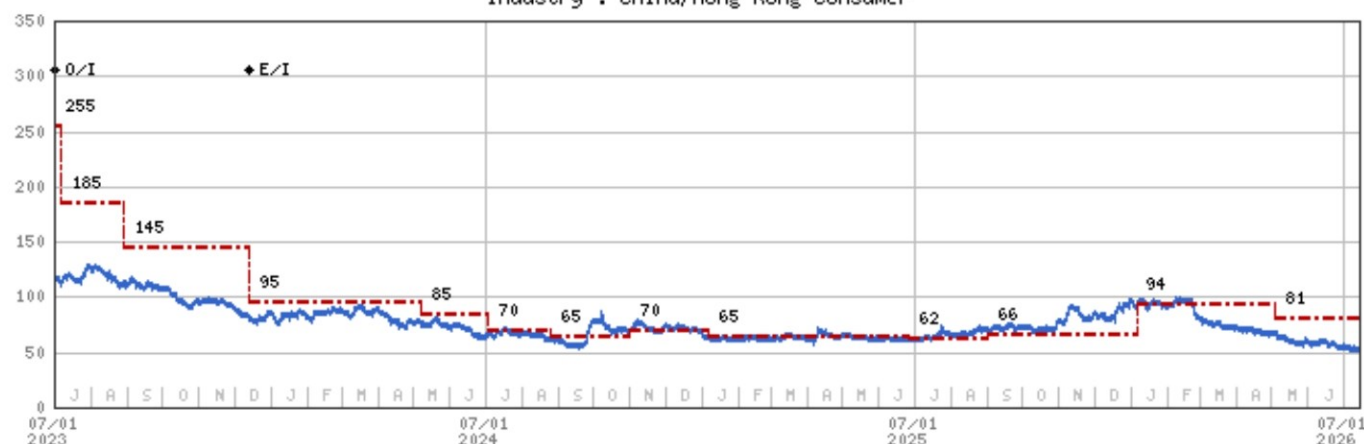
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China Tourism Group Duty Free (601888.SS) - As of 07/14/26 GMT in CNY
Industry : China/Hong Kong Consumer



Stock Rating History: 7/1/21 : O/I; 12/13/23 : E/I

Price Target History: 2/1/21 : 340; 8/6/21 : 320; 10/30/21 : 295; 1/17/22 : 230; 7/7/22 : 245; 9/2/22 : 235; 10/13/22 : 215; 1/18/23 : 280; 4/11/23 : 290; 5/11/23 : 255; 7/7/23 : 185; 8/28/23 : 145; 12/13/23 : 95; 5/8/24 : 85; 7/4/24 : 70; 8/26/24 : 65; 11/1/24 : 70; 1/7/25 : 65; 6/27/25 : 62; 9/2/25 : 66; 1/6/26 : 94; 5/4/26 : 81

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target: -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$73.90
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.76
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.13
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$26.90
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.02
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$23.16
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.90
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$51.70
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$155.00
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb57.38
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.48
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.72
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.07
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.81
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.18
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.10
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb37.46
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.70
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$47.94
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb50.92
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.79
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.13
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb50.54
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb34.56
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$30.48
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.15
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.15
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$373.80
Super Hi (HDL.O)	E (01/14/2025)	US\$12.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb42.95
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb80.48
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.35
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.68
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.25
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$22.94
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb42.15
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb119.18
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$106.00
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.18
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.33
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$20.36
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,214.88
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb77.65
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$89.55
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb81.18
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$31.88
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb38.08
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$41.44
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb110.50

Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb23.48
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.26
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$43.70
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb53.83
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.50
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.33
WH Group (0288.HK)	O (02/24/2025)	HK\$8.11
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb73.40
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb38.08
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.36
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb25.28
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.90
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.59
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$18.87
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.99
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb36.89
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.50
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb30.38
Shenzhou International Group Holdings (2313.HK)	O (07/13/2017)	HK\$42.86
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.66
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$125.50
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$12.91

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* Historical prices are not split adjusted.